BitWealth

STH Cost Basis Strategy

Buy the capitulation · Ride the trend · Sell the euphoria — a fully automated, on-chain-driven Bitcoin allocation strategy

Prepared by BitWealth · November 2026 · Confidential — For Prospective Client Review

TWO NUMBERS, READ TOGETHER

IN-SAMPLE · FULL-HISTORY BACK-TEST

52.7× buy-and-hold

2017–2026 · $1,000 once · CAGR 133% · drawdown 42%

Every rule parameter was chosen using the *whole* 2017–2026 history and the result is measured on that same history — the best the rules ever did on the data they were tuned to. The gold rows on page 3 are of this kind.

OUT-OF-SAMPLE · FITTED ON 2015–2019, TESTED ON 2020–2026

1.9× buy-and-hold

median of the 20 best fits (range 1.6–2.4×) · CAGR 55% vs 42% holding

The same optimisation was run using *only* data to the end of 2019; the winning rules were then run, untouched, on 2020–2026. 20 of 20 still beat holding. Reversing the halves gives 1.7×.

Plan on the out-of-sample number. It says the approach beats holding Bitcoin by roughly 1.5–2× over a multi-year window with a far smaller drawdown (33% vs 76% for holding), and that most of the distance from 2× to 50× is hindsight. ChartInspect's original, never-optimised version of this idea scores 2.2× on the same test window.

THE STRATEGY

The **Short-Term-Holder (STH) cost basis** is the average price paid for every bitcoin that changed hands in roughly the last five months — the break-even line of the market's most price-sensitive participants. Bull markets hold above it, bear markets live below it, and capitulation happens well beneath it. Computed from blockchain transaction data, it reflects **real capital at risk**, not sentiment or chart patterns.

The strategy reads this line every day and keeps the portfolio in one of three states: **all-in Bitcoin** when the market capitulates far below the cost basis or when an up-trend is confirmed above it; **cash** (earning stable-coin yield) when the trend breaks. A second on-chain series — the unrealised profit of long-term holders — marks the euphoric extremes where the position is **scaled out in slices** and later partly re-bought.

Why it is different:

- Decisive, not incremental — full exposure in the regimes that produce the returns, cash in the ones that destroy it
- Sells only on weakness: every scale-out slice waits for short-term momentum to turn
- A *no-loss rule* means a slice is never sold below the price it was last bought at
- One decision per day, executed automatically in a sub-account in your own name

The three portfolio states — and what moves the strategy between them

CASH
100% stable-coin, earning yield. Waiting for a capitulation discount or a confirmed up-trend.

capitulation buy → exit at cost basis

CAPITULATION HOLD
100% Bitcoin bought far below the cost basis. Sold back to cash once price recovers to the line — or upgraded straight into a trend hold if the rally continues.

trend confirmed → trend breaks / stop

TREND HOLD
Fully invested while the up-trend holds; scaled out in slices at euphoric extremes and re-bought after pull-backs.

Momentum confirmation, a minimum holding period, trailing protection and a cycle-top entry filter guard every transition | Exact trigger levels and slice sizes are proprietary

STRATEGY BENCHMARKS

Standard DCA

BENCHMARK ONLY

- The same deposits, bought at the closing price on each contribution day — no signal, no timing
- Exchange fees only (VALR: 8 bps trading, 18 bps conversion) — no BitWealth fee applied
- Never sells — portfolio value tracks Bitcoin directly and takes the full drawdowns

Buy & Hold (HODL)

BENCHMARK ONLY

- The *entire* multi-year deposit schedule committed as one lump sum on day 1, then never touched
- Exchange fees only; a theoretical upper bound for perfectly-timed holding that very few investors can fund up front
- Shown so that risk-adjusted out-performance is unambiguous — not as a recommendation

Fees: **1% p.a. management** on portfolio value (monthly) + **10% performance** on new profit above the high-water mark · no deposit or withdrawal fees beyond VALR's 0.08% trade / 0.18% conversion costs · all figures in this document are after fees

HOW THE COMPONENTS COMBINE

1 **On-Chain Regime Signal** — SHORT-TERM-HOLDER COST BASIS → 2 **Decisive Allocation** — ALL-IN · HOLD · ALL-OUT → 3 **Scale-Out & Re-Buy** — MOMENTUM-GATED DISTRIBUTION

The **on-chain signal** tells us which regime Bitcoin is in — capitulation, trend or euphoria — by comparing price with what recent buyers actually paid. **Decisive allocation** turns the regime into a position. **Scale-out & re-buy** harvests the top of each cycle in steps and redeploys part of the proceeds after the pull-back.

1 · On-Chain Regime Signal

THE SIGNAL LAYER

The STH cost basis separates Bitcoin's bull and bear regimes cleanly: price above it means recent buyers are in profit and dips get bought; price below it means they are under water and rallies get sold. Because it is built from on-chain transactions it reacts within weeks, not months.

A second series — the profit position of long-term holders — identifies the cycle extremes where distribution historically begins.

ADVANTAGES

- Has distinguished bull and bear regimes since 2012
- Fast enough to catch capitulation lows within days
- Independent of price-only technicals and sentiment
- One decision per day — low noise, low churn

2 · Decisive Allocation

THE POSITION ENGINE

Rather than drip-feeding a fixed amount regardless of conditions, the strategy is binary by design: it deploys *all* available cash when price collapses to a capitulation discount or when an up-trend is confirmed, and returns to cash when the trend breaks.

Idle cash is not wasted — it is swept into a yield-bearing stable-coin and converted back just-in-time for the next buy.

ADVANTAGES

- Full exposure in the regimes that produce the returns
- Sidesteps the deepest part of each bear market
- Cash on hand exactly when capitulation buys appear
- Entries are rule-driven, never date-driven

3 · Scale-Out & Re-Buy

THE DISTRIBUTION ENGINE

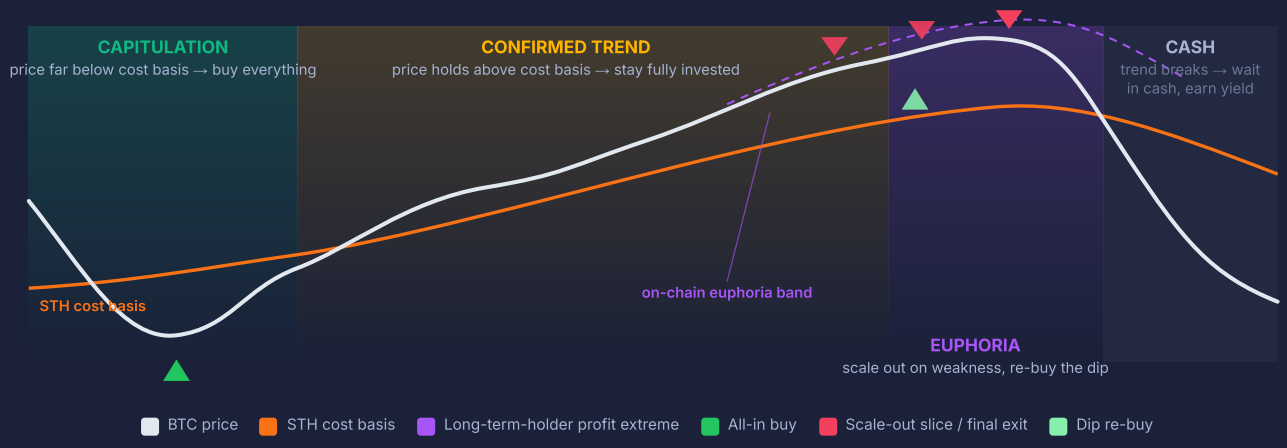
Cycle tops are processes, not moments. As long-term holders' profit climbs through progressively more extreme levels, the Bitcoin share is stepped down in three slices and a final exit — each sold only once short-term momentum has turned, never into strength.

After a meaningful pull-back the position is rebuilt, re-arming the ladder for the next leg. The no-loss rule stops the ladder churning capital in a sideways market.

ADVANTAGES

- Never all-in at a cycle top — profit banked in stages
- Raises cash on weakness, redeploys it lower
- Final rung exits completely at the blow-off extreme
- Beat single all-out exits and un-gated ladders in testing

One Bitcoin cycle through the strategy's eyes



Illustrative, not to scale. The interactive back-tester at bitwealth.co.za replays the real trades the strategy would have made on any dates you choose.

GUARD-RAILS THAT STOP BAD TRADES

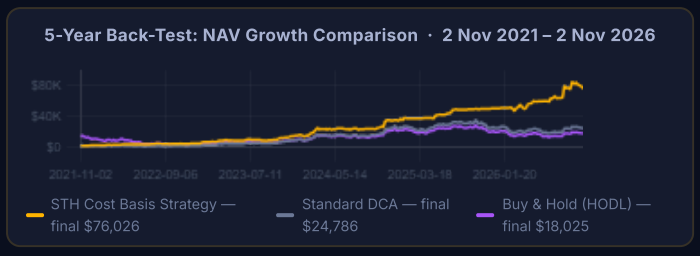
Momentum confirmation
No exit or scale-out fires on a single bad close — short-term momentum must have turned first, so the strategy sells weakness, not strength.

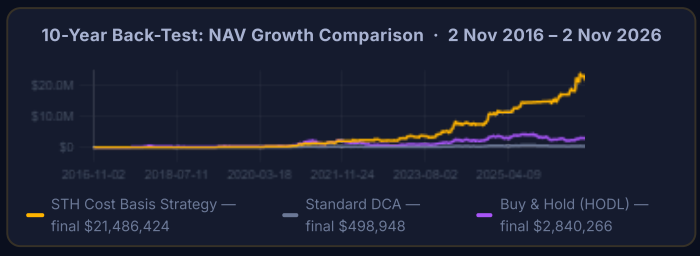
Minimum holding period
Fresh entries are protected from same-week whipsaws; the on-chain line is allowed to do its work before an exit is considered.

Trailing protection
A trailing stop below the post-entry peak caps the damage if a confirmed trend reverses violently.

No-loss ladder & macro filter
Partial sales are never made below the last purchase price, and no new trend entry is opened at a cycle-top extreme.

PERFORMANCE VS STANDARD DCA AND BUY-AND-HOLD





BACK-TESTED PERFORMANCE

PERIOD / STRATEGY	FINAL NAV	TOTAL INVESTED	CAGR	MAX DRAWDOWN	SHARPE RATIO	TOTAL ROI
1 YEAR (2 NOV 2025 – 2 NOV 2026) · $200/MONTH + $2,400 UPFRONT						
STH CB · in-sample	$6,591	$5,000	+31.8%	10.6%	1.49	+31.8%
STH CB · out-of-sample	$4,625	$5,000	−7.5%	10.2%	–	−7.5%
Std DCA	*$4,343*	*$5,000*	*−13.1%*	*27.8%*	*-0.84*	*−13.1%*
HODL	*$3,509*	*$5,000*	*−29.8%*	*46.5%*	*-0.85*	*−29.8%*
3 YEARS (2 NOV 2023 – 2 NOV 2026)						
STH CB · in-sample	$26,572	$9,800	+39.4%	15.4%	2.22	+171.1%
STH CB · out-of-sample	$12,123	$9,800	+7.3%	25.5%	–	+23.7%
Std DCA	*$13,421*	*$9,800*	*+11.0%*	*45.6%*	*0.92*	*+36.9%*
HODL	*$21,614*	*$9,800*	*+30.1%*	*52.5%*	*0.92*	*+120.6%*
5 YEARS (2 NOV 2021 – 2 NOV 2026)						
STH CB · in-sample	$76,026	$14,600	+39.1%	19.5%	1.70	+420.7%
STH CB · out-of-sample	$24,975	$14,600	+11.3%	28.3%	–	+71.1%
Std DCA	*$24,786*	*$14,600*	*+11.2%*	*51.3%*	*0.31*	*+69.8%*
HODL	*$18,025*	*$14,600*	*+4.3%*	*76.3%*	*0.31*	*+23.5%*
7 YEARS (2 NOV 2019 – 2 NOV 2026)						
STH CB · in-sample	$603,733	$19,400	+63.4%	24.0%	2.17	+3012.0%
Std DCA	*$68,441*	*$19,400*	*+19.7%*	*73.1%*	*0.88*	*+252.8%*
HODL	*$161,444*	*$19,400*	*+35.3%*	*76.3%*	*0.88*	*+732.2%*
10 YEARS (2 NOV 2016 – 2 NOV 2026)						
STH CB · in-sample	$21,486,424	$26,600	+95.2%	40.7%	2.34	+80676.0%
Std DCA	*$498,948*	*$26,600*	*+34.0%*	*82.2%*	*1.13*	*+1775.7%*
HODL	*$2,840,266*	*$26,600*	*+59.5%*	*83.3%*	*1.13*	*+10577.7%*

*Back-test parameters: $2,400 upfront + $200/month contribution, each period ending 2 Nov 2026. Signals on the daily close, filled at the next close. Idle USDT swept to USDPC (~10% p.a.) between Bitcoin positions; 0.1% per sweep. Strategy fees: VALR exchange (8 bps trading, 18 bps conversion), BitWealth 1% p.a. management on NAV and 10% performance on monthly profit above the high-water mark. Std DCA & HODL rows reflect exchange fees only. HODL deposits the full multi-year schedule as one lump sum on day 1; ROI/CAGR are measured against that nominal cash. **In-sample** rows use parameters fitted on the whole 2017–2026 history; the green **out-of-sample** rows (1, 3 and 5 years, all inside 2020–2026) use parameters fitted on 2015–2019 only — with monthly deposits their edge over simple DCA is thin and they can trail both benchmarks over a strongly trending 3-year stretch. Max drawdown = largest peak-to-trough fall in portfolio value; Sharpe on deposit-neutral daily returns, annualised. Past performance is not indicative of future results.*

WHY THE STH COST BASIS STRATEGY

Reads Real Capital, Not Charts

The signal is built from what Bitcoin buyers actually paid on-chain. It cannot be gamed by headlines, order-book spoofing or technical-pattern crowding.

Drawdown Discipline

By stepping into cash when the trend breaks and re-entering at capitulation, the back-tested worst drawdown was roughly half of Bitcoin's own.

Fully Automated

One decision per day from the latest on-chain close, executed, reconciled and reported without manual intervention.

Tested, Not Assumed

Every rule survived walk-forward testing (each year run out-of-sample) and stress tests that shift the on-chain data and the start date.

Your Account, Full Transparency

Assets sit in a dedicated VALR sub-account in your name with a trade-only key. Every order, fee and balance is visible in the client portal.

Two Passive Benchmarks Included

Every result is shown beside Standard DCA (same deposits) and HODL (whole stake on day 1), so the comparison is never cherry-picked.

WHAT THIS STRATEGY IS NOT

Not a guarantee

Every rule parameter was chosen on historical data. Fitted on one half of history and tested on the other, the strategy beat holding by roughly 1.5–2× — not the 50× of the full-history back-test (page 1). The future can differ from every past cycle.

Not always ahead of holding

In strongly trending years with shallow pull-backs the strategy's exits cost it ground: in the back-test it lagged simple holding in 2023 and 2024. It is designed to win across a full cycle, not every year.

Not low-volatility

When fully invested it carries Bitcoin's full daily volatility. The back-test's worst peak-to-trough fall was 42%; a client who joins just before a trend break will experience a loss first.

Not data-independent

Signals depend on third-party on-chain series. A different provider, a methodology change or an outage would change behaviour; BitWealth monitors data freshness daily and pauses trading when it is stale.

Bitcoin & platform risk

Bitcoin is a high-risk asset. Assets are held at VALR, a regulated South African exchange; exchange insolvency, regulatory change and stable-coin issuer risk are outside BitWealth's control.

Research results, not live results

The strategy has been researched and back-tested with next-day fills and the full fee stack; it has not yet produced a live track record. Live results will differ from back-tests.

FREQUENTLY ASKED QUESTIONS

How much do I need to start, and can I contribute monthly?

Both a lump sum and a monthly debit order (in Rand) are supported, in any combination. Contributions are invested immediately while the strategy is in Bitcoin and held as yielding cash while it is not.

Who holds my Bitcoin?

You do — in a dedicated sub-account at VALR opened in your name. BitWealth operates it through a trade-only API key that cannot withdraw. You can view balances directly at the exchange at any time.

What happens to my money when the strategy is "in cash"?

It is swept into a yield-bearing US-dollar stable-coin and converted back the moment a buy signal fires. Yield is variable and not guaranteed; the back-test assumes roughly 10% p.a.

How are fees charged?

1% p.a. management on portfolio value, deducted monthly, plus 10% of new profit above the previous high-water mark. There is no fee on deposits or withdrawals beyond the exchange's own costs. All figures in this document are shown after these fees.

Can I withdraw at any time?

Yes. Withdrawals are processed from your sub-account in Rand; there is no lock-in and no exit penalty.

Why doesn't the document show the exact trigger levels?

The thresholds, slice sizes and confirmation rules are BitWealth's intellectual property. What we do publish is every trade the rules would have produced: the interactive back-tester at bitwealth.co.za replays them for any dates and deposits you choose.

How does this differ from simply holding Bitcoin?

Holding captures everything — including every 50–80% drawdown. The strategy aims to capture most of the up-cycles while spending the worst of the down-cycles in cash. Out-of-sample this produced roughly 1.5–2× the value of holding at well under half the drawdown; in some single years holding still did better.

What do "in-sample" and "out-of-sample" mean, and why show both?

In-sample: the rules were tuned on the full history and then measured on it — it shows the mechanics but flatters the result. Out-of-sample: the rules were tuned on 2015–2019 only and then run blind on 2020–2026 (and vice versa) — the closest a back-test can get to a fair trial. We show both because the gap between them is itself the most useful piece of information: it is the share of the headline that came from hindsight.

Try It With Your Own Numbers

Run the interactive back-tester at bitwealth.co.za, or reply to this email to book a walkthrough.

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